

Fly where the air is thin.

The board funded **one rotation** and refused the biggest markets. Ranking by volume returns JFK to Heathrow, which is slot-controlled and run as a four-carrier joint venture. **Size is evidence that demand is already served.** So we score capturability.

THE DEFINITION

Opportunity is demand that already exists, on planes that are already full, on a route nobody owns.

Why each dial is a percentile, not a raw number

Passengers, a growth rate, people per flight and a concentration score cannot be added together. Ranking each route 0 to 100 within the candidate pool makes four different units additive. We rank rather than standardise because airline traffic is heavily right-skewed, and a handful of enormous routes would otherwise dominate any average.

Room uses concentration, not a count of airlines

Two carriers can be an open duopoly or a 97% fortress. Counting cannot tell them apart; **HHI** can. That single choice is what keeps Delta's ATL-AMS and DTW-AMS hub fortresses off the shortlist despite their thin carrier counts.

WHAT RANKING BY SIZE ACTUALLY RETURNS · ALL THREE SIT FAR ABOVE OUR VOLUME CUT

ROUTE	Q4 PASSENGERS 2015-19	WHY IT IS NOT AN OPTION
JFK-LHR	3,799,106	Heathrow is slot-controlled and run as a transatlantic joint venture
HNL-NRT	2,044,325	Mature leisure corridor held by the Japanese and US majors
LAX-LHR	1,879,683	Heathrow again, same wall

Data note. The source files are not full years. Passengers cover Sep-Dec then Aug-Dec; departures Oct-Dec then Sep-Dec. Every figure in this deck uses a forced constant **October to December** window, the only one present in both files in every year. Totals are Q4 volumes, never annual.

THE FOUR DIALS · THE THIN AIR INDEX

DIAL	MEASURE
D Demand Is the market real?	Q4 passengers 2015-19. A single aircraft cannot create demand from nothing.
G Growth Is it getting bigger?	Change against 2010-14. One rotation is a multi-year commitment.
S Strain Are the planes full?	Passengers ÷ departures. Full planes absorb new seats. Empty ones start fare wars.
R Room Can we get in?	1 – HHI of carrier shares. One aircraft cannot dislodge an entrenched incumbent.

How the four combine

The **Thin Air Index** is the weighted mean of the four percentile ranks. Equal weights are a starting prior, not a claim: we had no basis for asserting that growth matters 1.4 times as much as strain, so we started neutral and then tested every alternative. Slide 5 shows what moving them does to the answer.

One aircraft. No slots. No feed.

This is not background. The weaknesses on the right are the reason **Strain** and **Room** carry as much weight as raw demand: an airline with no slot portfolio and no connecting passengers has to win on capturability or not at all.

STRENGTHS

- Two profitable years, capital in hand
- No legacy network to defend, free to pick optimally
- One rotation is a small, reversible commitment
- No hub to protect, so no cannibalisation

OPPORTUNITIES

- Failed carriers vacate **proven** demand, not speculative demand
- Secondary gateways are unslotted and under-served
- Monopoly routes price high, which leaves margin to attack
- Point-to-point leisure needs no hub feed

What this rules out

Slot-controlled airports such as Heathrow and Tokyo Haneda. Hub fortresses where one carrier holds the traffic. Anything that only works with connecting passengers.

WEAKNESSES

- No connecting feed. The route must work on its own traffic
- No slot portfolio at constrained airports
- No alliance, no joint venture, no corporate contracts
- Unknown brand in every foreign market

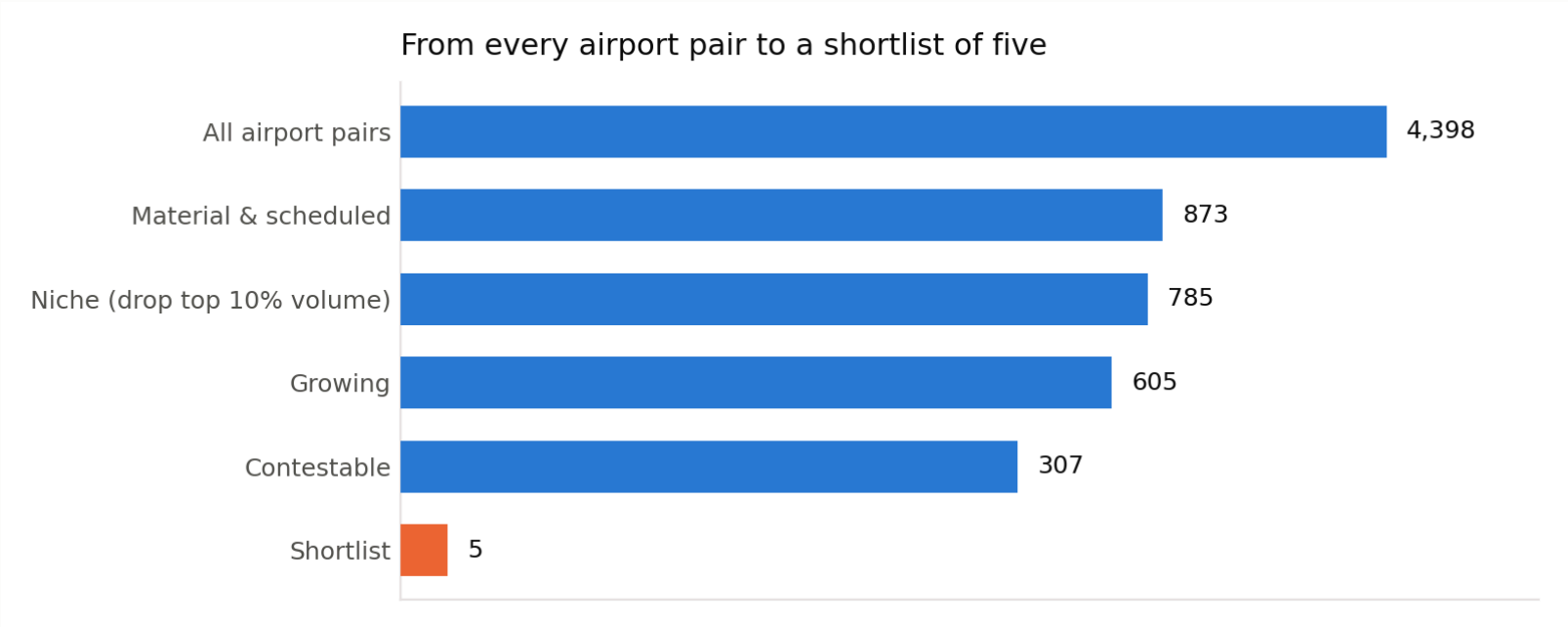
THREATS

- Incumbent adds frequency and squeezes the entrant
- A vacated gap may already have been backfilled
- Leisure markets skew thin on premium cabins and yield
- One route means zero diversification

What this points toward

Second-city gateways, routes a carrier has just exited, and markets where the planes still fly full despite thin service.

4,398 airport pairs to 5 finalists.



THE SHORTLIST, EQUAL WEIGHTS

ROUTE	TAI	Q4 PAX	PAX/DEP	HHI	VERDICT
LAX-HND	89.1	562,315	220	0.34	Rejected, slots
JFK-MAN	87.9	363,619	235	0.28	Recommended
DEN-CUN	82.2	540,816	146	0.34	No catalyst
SEA-ICN	80.6	483,764	178	0.34	Majors entrenched
GUM-PUS	79.9	318,908	142	0.28	Growth off a small base

The funnel is reversible. Every cut and threshold is logged in the notebook and reproducible from a clean kernel. The 302 contestable routes that did not reach the shortlist can now be checked manually to the live screen, so any stage can be reopened and the thresholds moved.

THE FOUR CUTS

- **Material and scheduled.** At least 50,000 Q4 passengers, present in all five years, at least 80% scheduled. One rotation needs a repeating market, not charters.
- **Niche.** Drop the largest 10% by volume, above 595,034 Q4 passengers. This is the client's instruction applied as a rule, not a finding.
- **Growing.** Demand rising against 2010-14.
- **Contestable.** At least two carriers and HHI at or below 0.90. This is the cut that removes the hub fortresses.

The index shortlists. It does not decide.

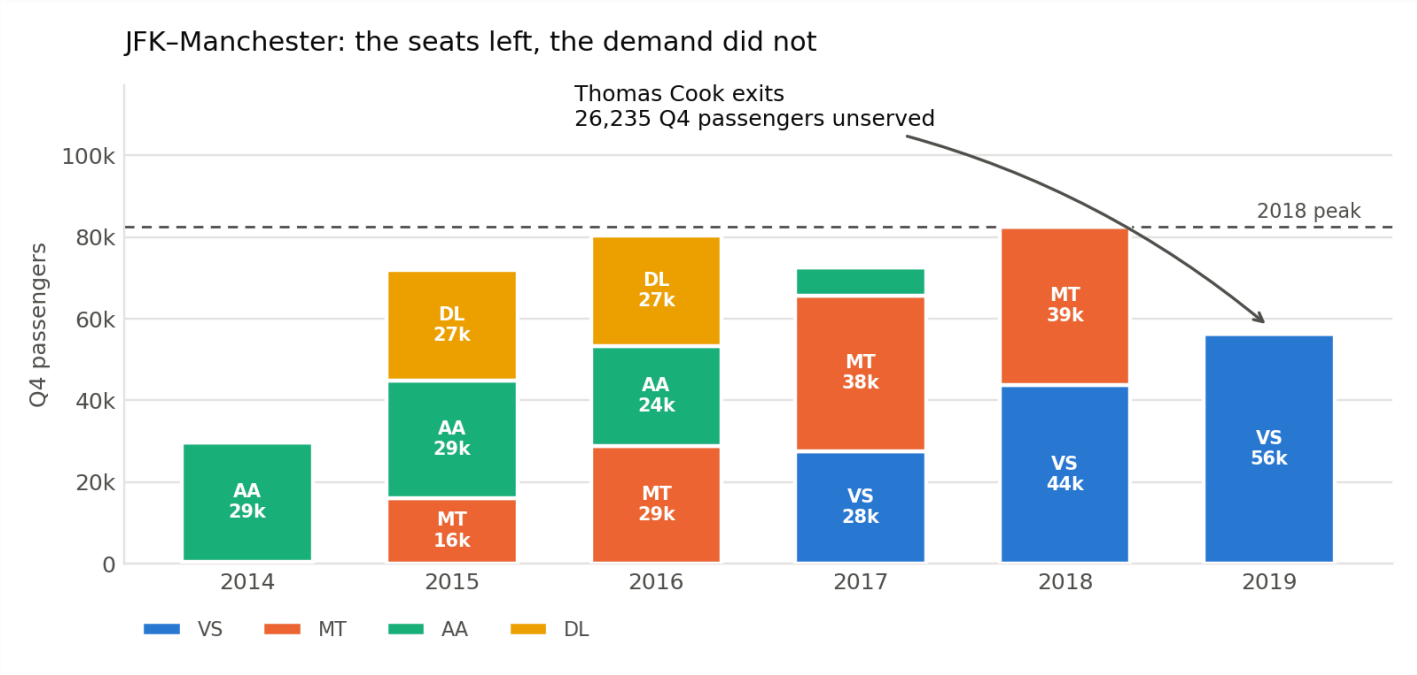
The Thin Air Index ranks LAX-HND first. We reject it. Tokyo Haneda's US slots are allocated government to government under the bilateral treaty and held by Delta, United, American and ANA. Room measures *concentration* only, so three majors splitting a route evenly reads as healthy competition when it is a closed shop. The seats are not expensive, they are legally unobtainable.

We overrode the model using knowledge the data does not contain, and labelled the override rather than retuning weights until our preferred answer won.

Only one finalist has a catalyst. The other four are healthy but static: good demand, full planes, and no particular reason that now is the moment to enter.

JFK ⇌ Manchester. The reason is dated.

Manchester is the United Kingdom's second gateway: the same national market as Heathrow, **without the slot fight Meridian cannot win.** It is also the only finalist with a catalyst.



Thomas Cook collapsed in September 2019

It carried **38,749 Q4 passengers in 2018, or 47% of the entire route.** Virgin Atlantic backfilled part of it and no more. Read the third column below: even after losing nearly half the seats, the remaining flights still went out with 320 people aboard. **The demand did not evaporate. It went unserved.**

	Q4 PASSENGERS	DEPARTURES	PAX PER DEPARTURE
2018	82,512	240	343.8
2019	56,277	176	319.8
Shortfall	26,235	64	still full

26,235 **0.83**

Q4 passengers of
proven demand,
unserved

departures per day
needed to carry them

26,235 ÷ 343.8 per flight = 76 flights over 92 days. The vacated demand is almost exactly one daily rotation, which is precisely the capacity the board has funded. We are not making a market or starting a price war. We are occupying a seat someone else left.

The weighting is the argument.

JFK-MAN wins outright whenever the score reflects Meridian's real constraints. Weight raw size instead and it collapses to 24th. **That fragility is the finding, not a flaw we are hiding.**

WEIGHTED TOWARD	TOP ROUTE	JFK-MAN
Capturability (Strain + Room)	JFK-MAN	#1
Full planes (Strain)	JFK-MAN	#1
Room to enter	JFK-MAN	#1
Equal, our prior	LAX-HND	#2
Growth	LAX-HND	#2
Market size	LAX-HND	#24

Test it yourself: the live route screen

All 307 contestable routes, four draggable weights, instant re-ranking. Click any route for its carrier mix and Q4 history. Runs offline, no install.
dashboard/index.html · launched from the notebook

ASSUMPTIONS

- Q4 **ordering** approximates annual ordering. We never claim Q4 volume is annual volume.
- Passengers ÷ departures is a usable load proxy. The data has no seat counts.
- Vacated demand persists rather than permanently rerouting via LHR, DUB or AMS.

LIMITATIONS

- No summer in the data.** Manchester leans leisure, so its true demand is likely understated here.
- No revenue anywhere.** We count people, never money. Full planes at low fares do not pay for a widebody.
- Five-year HHI hides the present.** JFK-MAN scores 0.28 across 2015–19, but in 2019 Virgin is the only carrier. We would enter a monopoly.
- Airport pair is not a true origin and destination market.

RISKS, AND WHAT WOULD CHANGE OUR MIND

- Virgin responds.** It has the aircraft and the incentive to refill the gap.
- Yield, not volume.** A leisure gateway may not support the fares.
- The single finding that kills this:** post-2019 schedule data showing Manchester capacity restored to 2018 levels. Our data stops in December 2019, three months after the gap opened. We can watch it open. We cannot watch it close.

